

Case Study-
Sales Effectiveness



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Revenue Acceleration- Sales Effectiveness-
Chesapeake Hospitality, Management Company
Engagement focused on entire estate; Sales Leadership through Sales Managers

How your sales and marketing creates demand;
Rather than capturing established demand.

Situation:

Chesapeake Hospitality saw their revenue decreasing, plans were hazy, and the cost of acquisition was rising. The 'wins' were based upon a race to the bottom in rate, rather than building value. Revenue Management was doing very well, but there was a lack of demand.

When their sales teams did sell it was through third-party meeting planners, CVB's or the brand. The pipeline of business was the sales team relying on other sources than selling directly to customers. The cost of acquisition was going up, their sales were driven by a price-driven sale. Sales leaders had the same approach that they always had and didn't know how to do things any different to elicit new results.

The investors became more disillusioned hearing the same things over and over, but nothing seemed to make sense on what the team was 'doing' to attain overall financial outcomes. There was a great deal of activity, yet hard for all to understand how that related performance against the marketplace.

Lastly, the brands had become less and less a driver to help the individual properties and seemed to be more focused on total brand performance.

Net net: the teams were working hard, but didn't have the foundation to really effect revenue performance

Process: The turnaround for Chesapeake showed results by the following work

1- Science & Strategy-

- Teams had to have a strategy plan that was aligned to financial goals and then have tactics that contributed to a segment growth plan, rather than a list of 'To-Do's or activities.

Example: In one hotel where a segment was looking to grow 58% in revenue they had no strategy and 4 tactics that were low-level activities. *The professional visitor.*

What we did: Aligned strategy where we have a depth of knowledge of the key stakeholders within companies and organizations that can move the business.

2- Customer Engagement-

- Teams had to have sales and marketing methodology that was higher- order business conversations and focused beyond the product to increase ADR.
- Teams had to have a sales process that was relevant to today's economy, not a process that was developed in 1972.

Example: Sales teams had relationships with those that were order-takers such as procurement, meeting planners, travel departments where it was a price driven relationship and had little to do with partnership or ability to drive rate. Sales were reactive and many tools utilized after the stay had happened or post sale (i.e. Knowland Report)

What we did: Sales approach to vice president and higher-level decision makers where teams built a relationship with those that would move the business.

3- Elevating & Sustaining-

- Sales Leaders (both Regional Vice Presidents and Directors of Sales) did not know how to coach effectively to grow team members to be effective. "You can't give away what you don't have". They would be within inventory management, but lacked in how to coach strategy (account development and pipeline) and skill coaching (how can we make the sales teams more effective in front of the client).

Example: Because there was no process, sales leaders couldn't coach to develop sales members in how to be more effective in front of the customer, *where it matters most.* They sounded good in the meetings, but were subpar in front of the customer. They didn't know how to coach and lead their teams.

What we did: We installed the learning and then would 'coach-by-the-side' enabling two elements: 1- sustaining the learning, and 2- the Regional / DOS learn how to effectively drive strategy and skill coaching.

Outcome:

Some key outcomes from the "Chesapeake One" work at some at specific hotels;

- In a distressed hotel (250 rooms) the sales team closed an account of \$1.3 million dollars by applying the sales methodology two months after they learned and started applying.
- Ft. Lauderdale hotel received one lead and was able to work through the organization and uncover 5.5x additional roomnights by applying principles.
- A Detroit hotel that had focused on one account and only known business opportunity had increased their business 4x in revenue from the same account.
- Sales teams expected to call on higher-order business executives, rather than purchase orientated positions, e.g. Travel managers, Meeting planners.
- Chesapeake was able to align marketing programs and campaigns specifically to targeted customers to increase ROI and booking conversions.

References from this work are
available upon request.

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